

the sheer cost of an average house in an average American city, your home is your greatest asset and your biggest investment, so your portfolio is far from balanced. When you put a disproportionate percentage of your investments into one asset class, it can be a recipe for disaster. And yet, it's hard to argue with people who believe that buying a home is the next logical step in building wealth.

Historically, house prices have tracked inflation, meaning that a dollar invested in your home today will still be worth a dollar when your great-grandchildren inherit it. The market may boom or bust, the Eurozone may disintegrate, oil may shoot through the roof, but once you pay off your mortgage, you have the security of knowing that the land and property is yours. But remember: Mortgages are banks' number-one moneymakers, which is why they're often easy to get—and hard to get out of. And in the United States at least, a mortgage is not a huge risk to a bank. Quite the opposite. It's the beginning of a long love affair. Once banks have that long-term relationship with you, they can sell you all sorts of other things: insurance, lines of credit, and credit cards. They now have a tremendous amount of information about you. They know where you live, where you work, and how much you make. And if anything goes wrong, the bank owns your home.

Consider the recent mortgage crisis. There are a lot of murky factors on Wall Street that led to that tragic crash, but at the start of this dilemma, lenders were selling the dream of financial freedom through real estate, and overleveraged buyers with stars in their eyes were given way too much mortgage, too soon. Too many people entered the real estate market overextended and overly ambitious about what they could really afford. And banks were only too eager to lend them the money. Buyers were lulled by subprime mortgages, which had them paying virtually nothing on the principal for most of the early portion of the mortgage, at very low interest rates. When those rates went up, drastically, many could no longer afford the payments, and by the time they tried to sell their houses, they found they had built little to no equity. When it all came tumbling down, homes across the country lost trillions of dollars in value. Many were abandoned to the same banks that provided the subprime mortgages.